

BUSINESS · ZERO TO ONE, PART 2

# Competition feels safe.
# It kills your profit.

Roland Divine

swipe →

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**Roland Divine**

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Roland, isn't competition good for business? ⚔️

Good for customers, yes.

For your profits? Thiel's answer is **no.**

## Lesson 4: competition kills profit 📉

When ten businesses sell the same thing, they cut prices until nobody makes real money.

A business with **no close substitute** keeps its margins and can plan for years, not weeks.

**Lesson 5: be honest about your market** 🎭

Copycats describe their market so narrowly they look unique: "the only Ghanaian restaurant in Lekki".

Ask the real question: **what else could your customer buy instead?**

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**Lesson 6: what makes a business hard to copy** 🏰

1. Technology that's **10× better**, not 10% better
2. **Network effects:** it gets better as more people use it

3. **Economies of scale:** it gets cheaper as it grows
4. A **brand** people trust

**Lesson 7: start small, then dominate 🎯**

Amazon started with books.
Facebook started at one university.
PayPal started with eBay's **power sellers.**

Win a small market completely, then expand step by step.

**Lesson 8: don't chase "disruption"** 💥

Picking a fight with giants makes you their target.

And rivalry makes you **copy your rival** instead of building something new.

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